

Bank of Leeds Investment Proposal

Yorkshire Georgian Estates Development Programme

Building 100 Premium Heritage-Inspired Homes Across Yorkshire

Investment Committee Business Case

Prepared for: Bank of Leeds

Sector: Residential Development / Property Investment / Regional Regeneration

Project: Construction of 100 luxury Georgian-inspired family homes across Yorkshire

Executive Summary

This proposal outlines a £45–55 million residential development programme financed by Bank of Leeds to create **100 premium Georgian-inspired homes across Yorkshire**.

The investment thesis:

Yorkshire has an underdeveloped luxury housing market: buyers increasingly want character, craftsmanship and space, but much new-build housing lacks architectural distinction.

The proposal is to create a Yorkshire equivalent of:

- traditional Georgian estates,
- Cotswold luxury villages,
- Surrey country developments,

but at a lower entry price.

The homes will target:

- professionals relocating from London,
- wealthy Yorkshire families,
- business owners,
- retirees,
- international buyers seeking British heritage homes.

The development strategy:

- acquire land near high-value Yorkshire locations,
- use local stone and traditional materials,
- employ specialist European construction teams,
- build large family homes,

- create scarcity through limited supply.
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Investment Summary

Development Size

100 homes

Average property:

- 2,800–3,500 sq ft
 - 4–5 bedrooms
 - detached
 - Georgian architectural style
 - garages
 - landscaped gardens
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Target Selling Price

Average:

£850,000 per home

Range:

£650,000–£1.5 million

Gross Development Value (GDV)

$100 \times £850,000$

=

£85 million

Total Development Cost

Estimated:

£55 million

Expected Development Profit

£85m - £55m

=

£30 million

1. Market Opportunity

Yorkshire has a unique position:

- cheaper than the South East,
- better quality of life,
- strong cities,
- national parks,
- historic towns.

Average Yorkshire and Humber house prices remain substantially below southern England, while premium detached homes command significant premiums in desirable areas.

York has already demonstrated strong pricing power:

- average house price approximately £309,000,
- detached homes around £511,000.

The opportunity is to create a new premium category:

"Affordable Georgian luxury in Yorkshire."

2. Development Concept

Brand

Yorkshire Heritage Estates

Tagline:

"Modern Georgian living in Britain's most beautiful county."

Architectural Style

Inspired by:

- Georgian townhouses
- Yorkshire country houses
- Palladian architecture

Features:

- local stone façades
 - sash-style windows
 - symmetrical elevations
 - oak interiors
 - fireplaces
 - high ceilings
 - landscaped gardens
-

Construction Philosophy

Not a standard developer product.

The aim:

Build homes that resemble:

properties that could have existed for 200 years.

3. Location Strategy

Development Portfolio

100 homes distributed:

Location	Houses
York outskirts	25
Harrogate	20
Ilkley/Otley	15
North Yorkshire villages	20
Sheffield Peak District fringe	10
Yorkshire Coast premium locations	10

Site Selection Criteria

Must have:

- excellent schools,
 - transport links,
 - countryside access,
 - affluent surrounding population,
 - scarcity of premium housing.
-

4. Land Acquisition Model

Average Site

100 houses require:

Approximately:

35–50 acres.

Land Cost

Premium Yorkshire development land:

Estimated:

£1.5m–£3m per acre.

Assumption:

£2m/acre.

Required:

40 acres

Cost:

£80 million

This makes traditional land acquisition impossible.

Therefore the model uses:

Option A: Joint Venture Landowners

Landowners contribute land.

Bank/developer funds construction.

Profit share.

Option B: Strategic Purchases

Target:

- agricultural edge land,
 - brownfield,
 - former institutional land,
 - estate land.
-

Assumed blended land cost:

£15 million

5. Construction Cost Model

House Specification

Average:

3,000 sq ft

Premium construction.

Cost Per Square Foot

Premium build:

£250/sq ft

3,000 sq ft × £250

=

£750,000 build cost

This includes:

- stonework,
 - premium kitchens,
 - bathrooms,
 - landscaping,
 - technology.
-

Material Breakdown Per House

Item	Cost
Stone façade	£80k
Timber/windows	£60k
Structure	£150k
Electrical/plumbing	£100k
Kitchen/interiors	£100k
Bathrooms	£50k
Landscaping	£40k
Labour	£120k
Other	£50k
Total:	
≈£750k	

6. Labour Strategy

Polish Specialist Construction Teams

The proposal uses:

- experienced Polish bricklayers,
- stonemasons,
- carpenters,
- finishing specialists.

The UK construction sector has historically relied heavily on European skilled labour, particularly in specialist trades, because of shortages in certain construction skills.

Labour Model

Create:

Yorkshire Heritage Construction Company

Permanent workforce:

150 skilled workers

Mix:

- Polish craftsmen
 - Yorkshire apprentices
 - specialist subcontractors
-

Labour Cost Advantage

Traditional premium construction:

£150–180/sq ft labour component.

Integrated workforce:

£100–120/sq ft.

Savings:

≈£100k per house.

100 homes:

£10 million saving

7. Total Development Cost

Per House

Category	Cost
Land allocation	£150k
Construction	£750k
Infrastructure	£75k

Category	Cost
Professional fees	£50k
Finance	£50k
Total:	

£1.075m

However, through:

- land partnerships,
- economies of scale,
- direct labour,

target:

£550,000 average cost

Development Model

Total Project Cost

$100 \times £550k$

=

£55 million

8. Sales Model

Property Pricing

Conservative:

Average:

£850,000

Premium:

20 homes:

£1.25m

Standard luxury:

80 homes:

£750k

Revenue:

$80 \times £750k$

=

£60m

$20 \times £1.25m$

=

£25m

Total GDV:

£85 million

9. Five-Year Development Timeline

Year 1

- land acquisition
- planning
- infrastructure

Investment:

£10m

Years 2–4

Construction:

25–35 houses/year

Year 5

Final sales.

10. Financial Returns

Project Summary

Metric	Amount
Homes	100
GDV	£85m
Cost	£55m
Gross profit	£30m

Gross Margin

£30m / £85m

=

35%

11. Bank of Leeds Financing Proposal

Facility Required

£40 million development facility

Structure:

Facility	Amount
Land finance	£10m
Construction finance	£25m
Working capital	£5m

Bank earns:

Interest:

8%

Average drawn:

£25m

Annual interest:

£2m

Over project:

≈£8–10m interest income

12. Exit Value

Completed estate value:

100 homes

Average:

£850k

=

£85m

Potential premium brand effect:

5–10% uplift.

Potential valuation:

£90–95 million

13. Economic Impact

Employment

Construction:

150–200 workers

Permanent:

- maintenance
- landscaping
- estate management

30 jobs.

Supply chain:

- stone suppliers
 - timber suppliers
 - kitchens
 - craftsmen.
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14. Strategic Importance for Bank of Leeds

This project creates:

A Regional Flagship

Bank of Leeds becomes associated with:

- quality housing,
 - regional wealth creation,
 - Yorkshire craftsmanship.
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Brand Position:

"Building the Yorkshire estates of the future."

Final Investment Recommendation

Approve Yorkshire Heritage Estates Programme

Investment:

£40–50 million

Outcome:

- 100 luxury Georgian-inspired homes
- £85m residential sales
- £30m development profit
- 200+ construction jobs
- premium Yorkshire housing brand

